

22STCV24374 22STCV24374

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Case Number: 22STCV24374 Hearing Date: September 22, 2026 Dept: 1

Preliminary Approval of Class Action

Settlement

Department SSC-1

Hon. Theresa M. Traber

Bianca Ball v. CDC Restaurant Group, Inc., et al.

Case

No.: 22STCV24374

Hearing: September 22, 2026

TENTATIVE RULING

The Court's tentative ruling is to GRANT preliminary approval contingent on the parties addressing the following:

1. Provide information regarding any fee splitting agreement between Class Counsel and whether the clients have given written approval.
2. The Class Notice (at pages 2 and 5) contains multiple references to the Final Approval Hearing being held in Department 7 – these should be revised to say Department 1. The same applies to the reference at page 6 regarding the inspection of papers.

The Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Class Notice to address the Court's concerns. The parties are directed to submit the revised Class Notice with a red-lined copy showing the changes to the notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by _____. The Court sets a non-appearance case review for _____ to review the supplemental papers. The motion for final approval is scheduled for _____

at
10:30 a.m. in Department 1.

BACKGROUND

Plaintiffs

Bianca Ball and Claudia Emma Gonzalez Juarez sue Defendants CDC Restaurant Group, Inc. ("CDC") and Jeremiah Cillpam (collectively, "Defendants") for alleged wage and hour violations. Plaintiffs seek to represent a class of Defendants' current and former non-exempt employees.

On

May 20, 2022, Plaintiff Juarez filed a class action complaint against Defendants for: (1) failure to provide required meal periods; (2) failure to provide required rest periods; (3) failure to pay overtime wages; (4) failure to pay minimum wages; (5) failure to timely pay wages; (6) failure to pay all wages due to discharged and quitting employees; (7) failure to maintain required records; (8) failure to furnish accurate itemized statements; (9) failure to indemnify employees for necessary expenditures incurred in discharge of duties; and (10) unfair and unlawful business practices ("Juarez Class Action").

On

May 23, 2022, Plaintiff Juarez filed with the LWDA and served on Defendants a notice under Labor Code section 2699, et seq. seeking to represent other non-exempt employees against Defendants for various Labor Code violations

("Juarez PAGA Notice").

On

June 29, 2022, Plaintiff Ball filed with the LWDA and served on Defendants, a notice under Labor Code section 2699.3.

On

July 28, 2022, Plaintiff Ball filed a wage and hour class action against Defendants for: (1) failure to pay overtime wages, (2) failure to pay minimum wages, (3) failure to provide meal periods, (4) failure to provide rest periods, (5) waiting time penalties, (6) wage statement violations, (7) failure to pay timely wages, (8) failure to indemnify, (9) violation of Labor Code § 227.3, and (10) unfair competition (the "Ball Class Action").

On

September 14, 2022, Plaintiff Ball filed a separate representative action, Case No. 22STCV29951, seeking PAGA civil penalties against Defendants for Labor Code violations alleged in the Ball PAGA Notice (the "Ball PAGA Action").

On

March 7, 2023, Plaintiff Juarez filed a first amended complaint in the Juarez Class Action, adding a single cause of action pursuant to PAGA (the "Juarez Action").

On

August 7, 2025, the Parties participated in an all-day mediation presided over by Marc Feder, Esq., which resulted in settlement. The terms of settlement were finalized in the long-form Class and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which is attached to the Declaration of Megan R. Lazar filed May 21, 2026 ("Lazar Decl.") as Exhibit 1. Attorney Lazar subsequently filed the fully executed copy of the agreement on May 22, 2026.

As

part and parcel to the settlement, the Parties agreed to stipulate to Plaintiff Ball's filing of a First Amended Complaint in the Ball Class Action, adding all allegations brought in the Ball PAGA Action and Juarez Action, thereby effectively consolidating the three actions for purposes of Settlement (hereinafter, the "Action"). The First Amended Complaint was filed on May 21, 2026 and is the operative complaint in the Action ("Operative Complaint").

Now

before the Court is the Motion for Preliminary Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

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“Class” means all persons employed by Defendants in California and classified as a nonexempt, hourly-paid employee who worked for Defendants during the Class Period. (¶1.5)

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“Class

Period” means the period from June 29, 2021 through August 7, 2025. (¶1.12)

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“Aggrieved

Employee” means a person employed by CDC in California and classified as a non-exempt, hourly-paid employee who worked for CDC during the PAGA Period. (¶1.4)

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“PAGA

Period” means the period from June 29, 2021, through the end of the Class Period. (¶1.31)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount (“GSA”) is \$525,000, non-reversionary.
(¶3.1)

o Escalator Clause: CDC represents that there are no more than 17,500 Pay Periods worked during the Class Period. In the event the number of Pay Periods worked by Class Members during the Class Period increases by more than 10%, or 175 Pay Periods, then the Gross Settlement Amount shall be increased proportionally by the Pay Periods in excess of 17,675 Pay Periods multiplied by the Pay Period Value. The Pay Period Value shall be calculated by dividing the originally agreed-upon Gross Settlement Amount

(\$525,000) by 17,500, which amounts to a Pay Period Value of \$30.00. Thus, for example, should there be 20,000 Pay Periods in the Class Period, then the Gross Settlement Amount shall be increased by \$69,750 ((20,000 Pay Periods – 17,675 Pay Periods) x \$30.00 per Pay Period.) (¶8.1)

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The Net

Settlement Amount (“Net”) (\$215,610) is the GSA minus the following:

- o Up to \$175,000

(33 1/3%) for

attorney fees (¶3.2.2);

- o Up to \$50,000 for litigation costs (Ibid.);

- o Up to \$20,000 total [\$10,000 each] for

a Service Payment to each Named Plaintiff (¶3.2.1);

- o Up to \$11,890 for settlement

administration costs (¶3.2.3); and

- o Payment of \$52,500 PAGA penalty (75%

or \$39,375 to the LWDA). (¶3.2.5)

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Defendant

will separately pay any and all employer payroll taxes owed on the Wage

Portions of the Individual Class Payments. (¶3.1)

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There

is no claim form requirement. (¶3.1)

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Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated

by (a) dividing the Net Settlement Amount by the total number of Workweeks

worked by all Participating Class Members during the Class Period and (b)

multiplying the result by each Participating Class Member's Workweeks. (¶3.2.4) Non-Participating Class Members will

not receive any Individual Class Payments. The Administrator will retain

amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (§3.2.4.2)

o **PAGA Payments:** The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties \$13,125.00 by the total number of PAGA Period Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (§3.2.5.1)

o **Tax Allocation:** Each Participating Class Member's Individual Class Payments will be allocated as follows: 20% as wages, 80% as interest and penalties. (§3.2.4.1) The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§3.2.5.2)

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Response Deadline: "Response Deadline"
means forty-five (45) days after the Administrator mails Notice to Class Members and Aggrieved Employees and shall be the last date on which Class Members may: (a) mail Requests for Exclusion from the Settlement, or (b) mail his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 15 days beyond the Response Deadline has expired. (§1.43) The same deadline applies to the submission of workweek disputes. (§7.6)

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Funding
of Settlement: CDC shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator by February 18, 2027 or 14 days after the Effective Date, whichever is later. (§4.3)

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Disbursement:
Within 14 days after CDC funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class

Representative Service Payment shall not precede disbursement of Individual Class Payments, and the Individual PAGA Payments. (§4.4)

Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (§4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California State Controller's Office, Unclaimed Property Division in the name of the Aggrieved Employee thereby leaving no unpaid residue pursuant to the requirements of Code of Civil Procedure section 384. (§4.4.3)

The settlement administrator will be Apex Class Action Administration. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on May 21, 2026. (Lazar Decl., Exhibit 3.)

Participating class members and the named Plaintiffs will release certain claims against Defendant. (See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1. Does a presumption of fairness exist?

1.

Was

the settlement reached through arm's-length bargaining? On August 7, 2025, the Parties participated in an all-day mediation presided over by Marc Feder, Esq., which resulted in settlement. (Settlement Agreement §2.10.)

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently? Class Counsel represents that prior to mediation, Plaintiffs obtained, through informal discovery: (1) time and

payroll records for 100% of Class Members and Aggrieved Employees; (2) class data points, including the number of Class Members in the Class Period, the number of Aggrieved Employees, the total number of Workweeks during the Class Period, and the number of Pay Periods during the PAGA Period, (3) All of Defendants policy documents and Employee handbooks and (4) all documents pertaining to Plaintiffs available to Defendants. (Lazar Decl., ¶9.)

3.

Is

counsel experienced in similar litigation? Yes. Class

Counsel is experienced in class action litigation, including

wage and hour class actions. (Declaration

of David D. Bibiyan, ¶10; Declaration of Shoham J. Solouki, ¶17.)

4.

What

percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, (“Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.”).

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.

Is the settlement fair, adequate, and reasonable?

1.

Strength

of Plaintiffs' case. “The most important factor is the strength of

the case for plaintiff on the merits, balanced against the

amount offered in settlement.” (Kullar v. Foot Locker Retail, Inc.

(2008) 168 Cal.App.4th 116, 130.) Here,

Class Counsel has provided information, summarized below, regarding the estimated values of the class claims alleged:

Violation

Maximum Exposure

Unpaid

Wages

\$162,835.92

Meal

Period Violations

\$262,656.00

Rest

Period Violations

\$308,880.00

Reimbursement

Claim

No value

Wage

Statement Violations

\$1,750,000.00

Waiting

Time Penalties

\$1,313,280.00

PAGA

Penalties

\$609,795.00

Total

\$4,407,446.92

(Lazar
Decl., ¶¶21-41.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Class counsel obtained a \$525,000 non-reversionary settlement. This is approximately 11.9% of Plaintiffs' potential maximum recovery, which given the uncertain outcomes, is within the “ballpark” of reasonableness.

The settlement amount, if reduced by the requested deductions, leaves approximately \$215,610 to be divided among approximately 802 class members. Assuming full participation, the resulting payments will average approximately \$268.84 per class member.

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

3.

Scope of the release

Release of Claims. Effective upon entry of Judgment, the Order granting Final Approval of this Settlement, and on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶5)

Release of Class Claims: For the duration of the Class Period, all Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all claims that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint. (¶5.2)

o Except as set forth in Section 5.2 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (¶5.3)

Release of PAGA Claims: For the duration of the PAGA Period, all Non-Participating Class Members who are Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and

present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice. (§5.4)

o

“PAGA Notice” means Plaintiff Ball’s June 29, 2022, letter to defendant and the LWDA, providing notice pursuant to Labor Code section 2699.3 subd. (a). (§1.33)

o

Because future PAGA claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.4 of this Agreement and are eligible for an Individual PAGA Payment. (§7.5.4)

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“Released Parties” means: Defendants, and each of their former, present and future owners, parents, affiliated companies and subsidiaries, and all of their current, former, and future officers, directors, attorneys, members, managers, employees, consultants, partners, shareholders, joint venturers, agents, predecessors, successors, assigns, accountants, insurers, reinsurers, and/or legal representatives. (§1.41)

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Named Plaintiffs will also provide a general release and CC § 1542 waiver. (§5.1-5.1.1)

4.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required

for class certification is not required, but it is advisable to review each

element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a

different standard to determine the propriety of a settlement class as opposed

to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk at 1807, fn 19.)

Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba at 240.)

2.

Analysis

a.

Numerosity. There are approximately 802 class members. (Lazar Decl., ¶46.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from Defendants’ records. (Lazar Decl., ¶45.)

c.

Community

of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiffs allege that this Litigation is brought to resolve common issues that include whether Defendants provided full, timely and un-interrupted meal and rest periods, whether Class Members are entitled to premium pay for incomplete, untimely, or interrupted meal or rest periods, among other claims as set forth. (Lazar Decl., ¶47.)

As to typicality, Plaintiffs’ claims are typical of those of other Class Members as Plaintiffs: (1) are non-exempt

employees like other Class Members; (2) complain of not being paid for all time under Defendants' control or suffered and/or permitted to work for Defendants; (3) did not receive full premium pay for meal periods that were not compliant with the Labor Code; (4) did not receive premium pay for rest periods that were not provided, among others as set forth. (Id. at ¶48.)

As to adequacy, each Plaintiff represents that she is aware of the duties and risks of serving as class representative and has participated in the litigation. (Declarations of Bianca Ball, Claudia Emma Gonzalez Juarez.)

d.

Adequacy

of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given

the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1.

Content

of class notice. The proposed notice is attached to the Settlement Agreement. Its content appears to be acceptable, except for the minor corrections noted above. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

Notice will be given in English and Spanish. (¶1.11)

2.

Method
of class notice.

Not later than 14 days after the Court grants Preliminary Approval of the Settlement, Defendant will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2) Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice with Spanish translation. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3)

The deadlines for Class Members' written objections, Challenges to Workweeks and/or Pay Periods, and Requests for Exclusion will be extended an additional 15 days beyond the 45 days otherwise provided in the Class Notice for all Class Members whose notice is re-mailed. (¶7.4.4) Notice of Final Judgment will be posted on the Settlement Administrator's website. (¶7.8.1)

3.

Cost
of class notice. As indicated above, settlement administration costs are estimated not to exceed \$11,890. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting

to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6. Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$175,000 (33 1/3%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Fee Split: Counsel must provide information regarding any fee splitting agreement between Class Counsel and offer evidence confirming that the clients have given written approval.

Class

Counsel should also be prepared to justify the costs sought (capped at \$50,000) by detailing how they were incurred.

7.

Incentive Award

The Settlement Agreement provides for an enhancement award of up to \$10,000 to each named Plaintiff. In connection with the final fairness hearing, named Plaintiffs each must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval, although something more than minimal consultation and involvement will generally be necessary to receive an award of more than \$7,500.